Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

ENERGY REGULATORY COMMISSION
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RESOLUTION NO. 09, Series of 2023

A RESOLUTION PRESCRIBING A TEMPLATE FOR COMPROMISE AGREEMENT BETWEEN OR AMONG PARTIES FOR THE SETTLEMENT OF CONSUMER COMPLAINTS, AND THE APPROVING AUTHORITIES FOR SUCH CASES OF COMPROMISE AGREEMENTS

WHEREAS, pursuant to Rule 20 (F), Sec. 3 (f) of the ERC Revised Rules of Practice and Procedure,[1] notwithstanding the pendency of the verified complaint, the consumer and distribution utility (DU) shall be accorded every opportunity to resolve issues amicably for their mutual benefit. If the parties come into an agreement to settle the case, they shall execute a Compromise Agreement stating therein the terms and conditions of their settlement;

WHEREAS, the Commission deems it necessary to provide a Compromise Agreement template for parties settling a consumer complaint case amicably, to ensure that the terms and conditions of the parties' Compromise Agreement are in accordance with the Magna Carta for Residential Electricity Consumers (MCREC), as amended,[2] the Distribution Service and Open Access Rules (DSOAR), as amended,[3] and other applicable laws;

WHEREAS, the adoption of the compromise agreement template will aid the parties toward an early amicable resolution of the case, and consequently, facilitate the Commission's approval thereof as the same is in accord with the existing policies, rules, and guidelines of the Commission;

NOW THEREFORE, pursuant to its mandate to promote and protect consumer interests under Republic Act No. 9136 (R.A. No. 9136), otherwise known as the "*Electric Power Industry Reform Act of 2001*" (EPIRA), and actively promote the use of alternative dispute resolution (ADR) as an important means to end disputes and litigation quickly, effectively, and inexpensively, in line with the policy of the State,[4] the Commission hereby **RESOLVES** to:

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[1] ERC Resolution No. 1, Series of 2021.
[2] ERC Resolution No. 28, Series of 2010, entitled "A Resolution Adopting the Amendments to the Magna Carta for Residential Electricity Consumers (MCREC)."
[3] ERC Resolution No. 3, Series of 2012, entitled "A Resolution Adopting the Amendments to the Distribution Services and Open Access Rules (DSOAR)."
[4] Section 2, Republic Act No. 9285, entitled the "Alternative Dispute Resolution Act of 2004."

1. Direct the parties in a compromise agreement to use the Compromise Agreement Template, hereto attached as Annex "A". An approved Compromise Agreement shall have the effect of a decision or judgement on the merits and shall be immediately executory and enforced in accordance with the pertinent Rules of Practice and Procedure and suppletorily, the Rules of Court; and

2. Authorize Commissioner Alexis M. Lumbatan to act on and approve compromise agreements brought before the Commission, and to sign Orders relative thereto, for and by authority of the Commission, subject to the prescribed Compromise Agreement Template and the conditions provided therein.

This Resolution shall take effect immediately after its publication in a newspaper of general circulation or in the Official Gazette.

Let copies of this Resolution be furnished to the University of the Philippines Law Center - Office of the National Administrative Register (UPLC-ONAR), as well as published in the ERC website and such other online platforms available to the Commission under the circumstances, and all parties concerned.

Pasig City, 12 May 2023.

ERC
Office of the Chairperson and CEO
MCD2023-007397

(On Leave)
MONALISA C. DIMALANTA
Chairperson & CEO

ALEXIS M. LUMBATAN
Commissioner

CATHERINE P. MACEDA
Commissioner

FLORESINDA G. BALDO-DIGAL
Commissioner

MARKO ROMEO L. FUENTES
Commissioner

MMC/MADSG/GLO

Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

_____
Complainant,

- **versus -** **ERC CASE NO. 202_-___ CC**

_____
Respondent.
x- x

COMPROMISE AGREEMENT

(Add Prefaratory Statements/ Narration of Case Facts)

The Parties, by themselves and/or through undersigned counsel, unto the Honorable Commission respectfully manifest that they have agreed to amicably settle and have in fact settled the above-captioned case, in the following manner:

1. For the purpose of amicably settling this case, the Complainant/Respondent has offered the amount of _____(_____) as full and final settlement of Respondent's total claim for _____[*e.g.*, *the differential bill (DB) arising from the (date) inspection]* of the electrical facilities used by and registered under the name of the Complainant *[or: used by ___ and registered under ____*] under Service Identification Number _____, with service address at _____, which payment shall be made under the following terms:

    - Terms of payment (must include when the Compromise Agreement will be implemented)

2. The Complainant/Respondent accepts the above offer for the purpose of amicably settling the case.

3. The parties also agree that in case of Complainant's failure to pay any agreed amount as they fall due, the entire amount shall become due and demandable and shall entitle the Respondent to disconnect the electric service subject to Article 19[1] of the *Magna Carta for Residential Electricity Consumers* (MCREC), as amended.[2] In the event that the account is terminated, the obligation of the Complainant

[1] Article 19. Right to a Notice Prior to Disconnection – For disconnections due to non-payment of electric bills, a written notice must have been served to the customer forty-eight (48)-hours before such disconnection. The distribution utility may discontinue the service notwithstanding the existence of the customer's bill deposit with the distribution utility which will serve as guarantee for the payment of future bill(s) after service is reconnected.
[2] ERC Resolution No. 28, Series of 2010, entitled "A Resolution Adopting the Amendments to the Magna Carta for Residential Electricity Consumers (MCREC)."

in this Compromise Agreement cannot be assigned to and assumed by a new account holder occupying the premises, which is the subject of this case, in consonance with Article 22[3] of the MCREC.

4. Without admitting any liability on the part of either Party, the Complainant and the Respondent hereby mutually withdraw, waive, abandon, and relinquish all their claims, counterclaims, and all other causes of actions (administrative, civil, and criminal) by and against each other, including any of the Respondent's officers, employees and agents in the instant case and in other cases, if any, filed or to be filed in connection with, arising from or in relation to, the inspection on the said electrical facilities conducted on _____. Each Party shall bear the costs they incurred in this case.

5. The Parties have entered into this Agreement freely and voluntarily and attest that the same is fair, equitable, and not contrary to law, public order, public policy, morals, or good customs. Hence, the Parties request that this Compromise Agreement be admitted and approved by the Energy Regulatory Commission (ERC).

6. All the provisions set forth in this compromise agreement shall be enforced, governed by, and construed in accordance with the Honorable Commission's rules and regulations, Republic Act No. 7832, the Magna Carta for Residential Electricity Consumers (MCREC), as amended, the Distribution Service and Open Access Rules (DSOAR), as amended,[4] and other applicable laws, rules, and regulations.

7. This Agreement may be executed in one or more counterparts, each of which shall be deemed an original but all of which shall constitute one and the same agreement and shall become effective when counterparts have been signed by each party and delivered to the other party.

8. In the event that any provision of this Agreement or any of its amendment and supplement is invalid or unenforceable under any applicable statute or rule of law, or otherwise void for being contrary to public order, public policy, morals, or good customs, ~~then~~ such provision shall be deemed inoperative to the extent that it may conflict therewith and shall be deemed modified to conform with such statute or rule of law. Any provision hereof which may prove invalid or unenforceable under any law, or otherwise void for being contrary to

[3] Article 22. Right to Electric Service Despite Arrearages – Without prejudice to enforcing the provisions of the second paragraph of Article 6 hereof, a distribution utility shall not refuse or discontinue service to an applicant or customer, who is not in arrears to the distribution utility, even though there are unpaid bills or charges due from the premises occupied by the applicant, or customer, on account of an unpaid bill of a prior tenant unless there is evidence of conspiracy to defraud the distribution utility. Conspiracy shall not be presumed but must be supported by substantial evidence on the part of the DU.
[4] ERC Resolution No. 3, Series of 2012, entitled "A Resolution Adopting the Amendments to the Distribution Services and Open Access Rules (DSOAR)."

public order, public policy, morals, or good customs, shall not affect the validity or enforceability of any other provision hereof.

9. This Agreement and the instruments referenced herein contain the entire understanding of the parties with respect to the matters covered herein and therein and, except as specifically set forth herein or therein, no party makes any representation, warranty, covenant or undertaking with respect to such matters. No provision of this Agreement may be waived or amended other than by an instrument in writing signed by the party to be charged with enforcement.

10. The Parties represent and warrant that they have the authority and legal capacity to execute and perform this Agreement which shall have the effect of a decision or judgement on the merits, end the dispute and litigation, and shall be immediately executory and enforced accordingly. The Parties likewise represent and warrant that this Agreement is a valid and binding agreement enforceable against the other party according to its terms, and that the execution and performance of this Agreement does not violate the terms of any existing agreement or understanding, written or oral, or any judgment or decree to which any one of the parties is subject. In addition, the Parties represent and warrant that they know of no reason why they are not physically or legally capable of performing the obligations under this Agreement in accordance with its terms.

Respectfully submitted. (City/Municipality), _____.

_____	_____
Complainant	*D.U.*
(Registered Customer/Actual User)	
_____	_____
Registered Customer[5]	*Name of D.U. Representative*
	Position
	[Secretary's Certificate attached]

[5] If the Complainant is not the registered customer, Registered customer or his duly authorized representative must execute a Special Power of Attorney in favor of the Complainant to enter this agreement.

Republic of the Philippines)
_____City) S.S.

ACKNOWLEDGMENT

BEFORE ME, a Notary Public for and in the (Province/City/Municipality) of _____, personally appeared below named parties with their valid proof of identity, known and identified by me through competent evidence, both known to me and to me known to be the same persons who executed the Compromise Agreement, which they acknowledged to me to be their free and voluntary act and deed, consisting of only _____ (____) page/s, including this page in which this Acknowledgement is written, duly signed by them and their instrumental witnesses on each and every page hereof.

NAME PROOF OF IDENTITY

WITNESS MY HAND AND SEAL, this _____, _____ City, Philippines.

NOTARY PUBLIC

Doc. No. _____ ;
Page No. _____ ;
Book No. _____;
Series of 202_.